

Navigating geopolitical volatility in the Middle East

Date: 2026-01-28

Source: <https://www.franklintempleton.com/articles/2025/institute/navigating-geopolitical-volatility-in-the-middle-east>

Extraction method: selenium

Navigating geopolitical volatility in the Middle East

As the conflict between Israel and Iran continues to unfold, financial markets have remained relatively calm, reflected in subdued equity, fixed income, currency and commodity price moves. To address the outlook for markets, I hosted a discussion with senior investment professionals and strategists from Franklin Templeton with experience in the region. The participants were Mohieddine Kronfol, Chief Investment Officer, Global Sukuk and MENA Fixed Income, Franklin Templeton Fixed Income; Salah Shamma, Head of Investment ? MENA Equities, Franklin Templeton Emerging Markets Equity; and Kim Catechis, Investment Strategist, Franklin Templeton Institute.

The participants noted that the conflict has the potential to significantly alter the geopolitical landscape in the Middle East. At some point, the parties will try to achieve a peaceful resolution to the conflict, one that may also address longstanding issues and which could therefore become a positive catalyst for regional growth and development. Within the region there are massive needs to rebuild infrastructure, for which it will be necessary to mobilize the private sector and attract foreign investment.

For investors in the near term, however, the conflict highlights the importance of using tools to analyze geopolitical risk and uncertainty, and to incorporate those factors into portfolio construction.

Here are some highlights of the discussion.

Key takeaways

Thus far, the conflict has had only a modest impact on oil prices. US assets have not responded as traditional safe havens, which is unsurprising given a myriad of uncertainties surrounding new US tariff policy, fiscal policy and other considerations.

The conflict has the potential to reshape the geopolitical landscape of the Middle East, but it remains too early to anticipate how long the military actions will continue, or whether the United States may become involved.

Eventually, a sensible peace plan that addresses the causes of longstanding conflict could become a positive tailwind for the region's economic and financial development.

The Middle East has massive needs for rebuilding its infrastructure, for which it will be necessary to mobilize the private sector and draw foreign investment.

For investors, the conflict highlights the importance of using tools to analyze geopolitical risk, as today's economic logic fuses geopolitical and geoeconomic interests, including a shift toward regionalization and away from globalization.

In our view, portfolio consideration for diversification via uncorrelated markets and assets is of great importance to help manage risk. Diversification may reinforce flows of capital away from the United States and into other regions.

In the near term, we believe portfolios ought to focus on quality and a more defensive posture.

The Gulf Cooperation Council countries?Bahrain, Kuwait, Oman, Qatar, Saudi Arabia and the United Arab Emirates?may attract assets, as they stand out globally in terms of offering low levels of debt, strong sovereign debt metrics and currencies that are either pegged to or denominated in US dollars.

While questions surround the US dollar, gold and cryptocurrency, the US dollar is likely to remain the dominant reserve currency for the foreseeable future.

European nations are in the process of launching rearmament programs to develop defense industry capabilities independent of the United States and will likely need to issue more sovereign debt to fund these efforts.

Over time, investment in new military and security technologies may find civilian applications and be beneficial to growth in the consumer economy.

WHAT ARE THE RISKS?

All investments involve risks, including possible loss of principal.

Commodity-related investments are subject to additional risks such as commodity index volatility, investor speculation, interest rates, weather, tax and regulatory developments.

Strategies that invest in companies in a specific country or region may experience greater volatility than a strategy that is more broadly diversified geographically.

Equity securities are subject to price fluctuation and possible loss of principal.

Fixed income securities involve interest rate, credit, inflation and reinvestment risks, and possible loss of principal. As interest rates rise, the value of fixed income securities falls. Changes in the credit rating of a bond, or in the credit rating or financial strength of a bond's issuer, insurer or guarantor, may affect the bond's value. Low-rated, high-yield bonds are subject to greater price volatility, illiquidity and possibility of default.

International investments are subject to special risks, including currency fluctuations and social, economic and political uncertainties, which could increase volatility. These risks are magnified in emerging markets. Investments in companies in a specific country or region may experience greater volatility than those that are more broadly diversified geographically. The government's participation in the economy is still high and, therefore, investments in China will be subject to larger regulatory risk levels compared to many other countries.

Diversification does not guarantee a profit or protect against a loss.

WF: 5614808

CONTRIBUTORS

Lawrence Hatheway

Global Investment Strategist Franklin Templeton Institute

Kim Catechis

Investment Strategist, Franklin Templeton Institute

Mohieddine Kronfol

Chief Investment Officer, Portfolio Manager, Global Sukuk and MENA Fixed Income Franklin Templeton Fixed Income

Salah Shamma

Head of Investment, MENA Equities, Franklin Templeton Emerging Markets Equity

Related Content

Investment opportunities in the Middle East

Deep waves: The paradoxical trinity of defense

Quick Thoughts: Israel-Iran conflict

RELATED CONTENT

IMPORTANT LEGAL INFORMATION

This material is intended to be of general interest only and should not be construed as individual investment advice or a recommendation or solicitation to buy, sell or hold any security or to adopt any investment strategy. It does not constitute legal or tax advice. This material may not be reproduced, distributed or published without prior written permission from Franklin Templeton.

The views expressed are those of the investment manager and the comments, opinions and analyses are rendered as at publication date and may change without notice. The underlying assumptions and these views are subject to change based on market and other conditions and may differ from other portfolio managers or of the firm as a whole. The information provided in this material is not intended as a complete analysis of every material fact regarding any country, region or market. There is no assurance that any prediction, projection or forecast on the economy, stock market, bond

market or the economic trends of the markets will be realized. The value of investments and the income from them can go down as well as up and you may not get back the full amount that you invested. Past performance is not necessarily indicative nor a guarantee of future performance. All investments involve risks, including possible loss of principal.

Any research and analysis contained in this material has been procured by Franklin Templeton for its own purposes and may be acted upon in that connection and, as such, is provided to you incidentally. Data from third party sources may have been used in the preparation of this material and Franklin Templeton ("FT") has not independently verified, validated or audited such data. Although information has been obtained from sources that Franklin Templeton believes to be reliable, no guarantee can be given as to its accuracy and such information may be incomplete or condensed and may be subject to change at any time without notice. The mention of any individual securities should neither constitute nor be construed as a recommendation to purchase, hold or sell any securities, and the information provided regarding such individual securities (if any) is not a sufficient basis upon which to make an investment decision. FT accepts no liability whatsoever for any loss arising from use of this information and reliance upon the comments, opinions and analyses in the material is at the sole discretion of the user.

Franklin Templeton has environmental, social and governance (ESG) capabilities; however, not all strategies or products for a strategy consider ESG as part of their investment process.

Products, services and information may not be available in all jurisdictions and are offered outside the U.S. by other FT affiliates and/or their distributors as local laws and regulation permits. Please consult your own financial professional or Franklin Templeton institutional contact for further information on availability of products and services in your jurisdiction.

Issued in the U.S. by Franklin Templeton, One Franklin Parkway, San Mateo, California 94403-1906, (800) DIAL BEN/342-5236, franklintempleton.com. Investments are not FDIC insured; may lose value; and are not bank guaranteed.

You need Adobe Acrobat Reader to view and print PDF documents. Download a free version from Adobe's website.

CFA® and Chartered Financial Analyst® are trademarks owned by CFA Institute.